

Measuring and Enhancing Transparency

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Note

In this session, we explore how FPAS Mark II strengthens transparency as a core element of credible monetary policy. Transparency under FPAS Mark II helps anchor expectations, reduce uncertainty, and support clearer policy transmission. It lowers the risk of misinterpretation and helps markets internalize the central bank's risk assessment rather than relying on speculation.

Under FPAS Mark II, transparency is embedded throughout the framework: in scenario design, communication, minutes, forecasts, and post-round assessments. It is not cosmetic. It is foundational to how we explain our decisions and how we earn and maintain credibility over time.

1. Target Audiences for Monetary Policy Communications

For much of the last century, central banks followed an unwritten rule: say as little as possible, and say it in technical language. With the rise of inflation targeting and FPAS-style frameworks, that mindset began to change. Clear communication became an essential part of the policy framework itself, especially for shaping expectations and anchoring credibility. In those early years, most of the focus was on a narrow group of expert observers—mainly financial markets and academic economists.

The experience of the Global Financial Crisis, the COVID-19 shock, and the recent wave of geopolitical tensions has shown that this narrow focus is no longer adequate. Households and firms play a central role in the expectations channel, yet their understanding of monetary policy is often limited or shaped by partial or distorted media coverage. Even in countries with relatively high economic literacy, many people are

unsure what the central bank does, who makes the decisions, or what the inflation target actually means in practice.

At the same time, media reporting can dilute or misinterpret key messages, whether through oversimplification, time pressure, or editorial bias. This reinforces the need for a communication strategy that engages a wider circle of audiences directly, without relying solely on intermediaries.

For the Central Bank of Armenia, there is an additional consideration: accountability. The Board is appointed to serve the public, and transparent communication is the main way the institution can demonstrate how it is fulfilling its mandate. A clear, well-structured communication strategy is therefore not only an operational tool; it is also a basic element of good governance.

Within this broader approach, the main audiences for monetary policy communication are:

Financial Markets: Commercial banks, traders, asset managers, and institutional investors are the traditional core audience of monetary policy communication. Their expectations about interest rates and inflation feed directly into market pricing and financial conditions. Clear, predictable communication helps these participants understand the central bank’s reaction function and reduces unnecessary volatility when new information arrives.

Government and Public Institutions: The government, especially the Ministry of Finance and agencies responsible for structural and regulatory policies, is another key audience. While policy mandates are separate, monetary and fiscal decisions interact. Transparent communication helps ensure that each side interprets the other’s actions correctly and supports coherent overall macroeconomic policy.

General Public: Households and businesses are directly affected by inflation and macroeconomic stability. Their perceptions of future prices, interest rates, and income prospects are vital for the transmission of monetary policy. Communicating with the public means explaining complex issues in plain language, without pretending that monetary policy is simple. The aim is to help people understand what the central bank is trying to achieve and why certain decisions are taken.

Media: Television, print, radio, and online outlets help to spread information quickly and widely. They remain important partners but cannot be the only channel to reach the public. The central bank has an interest in supporting higher-quality reporting—for

example, through background briefings or economic literacy initiatives—so that monetary policy decisions are explained accurately and in context.

Academia: researchers and lecturers in universities play a long-term role in shaping how monetary policy is understood by students, future policymakers, and the wider public. Engagement with this community—through seminars, joint research, and teaching materials—strengthens the analytical debate and supports economic education more broadly.

International Organizations: Institutions such as the IMF, World Bank, and regional development banks provide financing, technical assistance, and external assessments of the Armenian economy. Clear and consistent communication with these organizations helps align expectations, supports capacity-building, and reinforces the credibility of the policy framework.

These audiences differ in their technical knowledge, interests, and preferred channels of communication. A modern central bank cannot speak to all of them in the same way. It must adjust the level of detail, the style of language, and the format of its communication so that monetary policy is both accessible and analytically sound. Designing messages and tools with these differences in mind is central to measuring and improving transparency.

2. Key Communication Vehicles

To reach these varied audiences, the CBA uses a set of communication tools that work together as a coherent system. Each instrument has a specific purpose, but all are guided by the same principles: clarity of objectives, transparency about decision-making, openness about uncertainty, and support for accountability.

Monetary Policy Report (MPR)

The quarterly Monetary Policy Report is the CBA's flagship communication document. It explains how the framework is applied in practice during each policy round.

The MPR addresses three core questions:

1. **Where is the economy now?** It describes current and underlying economic conditions in Armenia and abroad, using model-based estimates and current analysis.

2. **What forces are driving the outlook?** It explains the main shocks and trends shaping the forecast, organized through the Taxonomy of Scenarios and the least-regrets perspective. This includes a structured overview of the upside and downside risks that matter most for the Board in the current round.
3. **How is policy responding?** It presents illustrative scenarios that show how the CBA would adjust its instruments in order to safeguard price stability, given the identified risks.

The MPR remains the cornerstone of the CBA’s communication and transparency programme. More than a simple summary of decisions, it serves as the institution’s periodic report on economic conditions, risks, policy reasoning, and forward guidance. Under FPAS Mark II, its role is central: it articulates how analysis, uncertainty, and policy judgment come together in a structured, publicly accessible document. Below is a breakdown of the typical structure of the MPR and how it incorporates key elements—current analysis, taxonomy of shocks, scenarios, and communication tools.

Typical Structure and Main Sections of CBA MPR

While the exact layout may vary over time, a standard MPR under FPAS Mark II typically includes the following components:

1. Executive Summary

- An overview of recent economic developments (domestic and global).
- A summary of the main risks and uncertainties identified in the current round.
- A brief description of the policy decision taken by the Board and the broad rationale behind it.
- Key messages for markets, households, and other stakeholders — laying out the path ahead in clear, accessible language.

2. Economic and Financial Conditions

- Detailed assessment of real economy (output, employment, demand, supply constraints), external sector (trade, remittances, commodity prices, external risks), and financial sector (credit growth, banking stability, liquidity, external financing conditions).
- Recent data trends, updated nowcasts, and comparison with previous projections.

- Identification of structural shifts or emerging vulnerabilities (e.g. supply constraints, fiscal pressures, global shock transmission).

3. Risk Assessment: Taxonomy of Shocks & Uncertainties

- A structured matrix showing the range of demand-side and supply-side risks the Board and staff consider relevant. This “Taxonomy of Scenarios” classifies risks into categories such as expansionary demand, contractionary demand, supply shocks, external shocks, global spillovers, financial vulnerabilities, etc.
- For each category, a narrative explaining how that type of shock might unfold, what inflationary or output effects it could generate, and under what conditions.
- Commentary on the “shock environment”: which risks are judged to be most salient in the current round, and which remain more remote but still plausible.

4. Illustrative Scenarios & Policy Paths

- From the taxonomy, staff select one or more illustrative scenarios (often one “Case A” and one “Case B,” sometimes additional cases if warranted).
- Each scenario is accompanied by a narrative: description of assumptions, shock triggers, transmission channels, and potential macroeconomic consequences.
- A set of projections under each scenario: paths for core variables (inflation, output, policy rate, exchange rate, external balances, etc.).
- This section illustrates how the CBA might respond under different shock configurations — providing forward guidance under a risk-based framework rather than a single-point forecast.

5. Monetary Policy Decision & Rationale

- Transparent explanation of the Board’s decision — what was decided, and why — in light of the risk assessment and scenario analysis.
- Presentation of individual Board members’ reasoning if vote attributions are part of the transparency policy (where applicable), linked to the taxonomy or scenario logic that influenced their view.

- Communication of the expected policy path under current conditions, and under alternative risks should they materialize.

6. Statistical Annex & Charts Pack

- A comprehensive set of tables and charts covering recent data, historical context, and model-based projections.
- Graphs illustrating the outlook under different scenarios to communicate uncertainty.
- Time series for key variables: inflation (headline and underlying measures), output gap, external balances, credit, financial conditions, interest rates, etc.

7. Appendices and Methodological Notes *(optional but often included)*

- Description of key models used (e.g. ENDOCRED, QPM, external sector models).
- Key assumptions, shock definitions, and explanation of the taxonomy framework.
- Definitions of technical terms for transparency and reproducibility.

This structure makes the MPR a self-contained, multi-layered document: detailed enough for professional analysts and researchers, yet accessible enough for the public to grasp the main policy messages through the executive summary and key charts.

Executive Monetary Policy Statement (EMPS)

The Executive Monetary Policy Statement is the short policy press release issued after each of the eight Board decisions per year. It has two parts:

- a Board statement announcing the decision and summarizing the institutional reasoning; and
- a staff assessment of current and underlying economic conditions.

On non-MPR decision dates, the EMPS becomes the primary written communication tool for the decision, ensuring that the public continues to receive clear messages about the stance of policy and the main issues shaping the Board's thinking between full reports.

Press Conference

After every decision, the Governor holds a press conference, which is broadcast live on the CBA's digital platforms both in Armenian and English (dubbed) and later made available as a recording. The press conference serves three main purposes:

- to present the policy decision in the Governor's own words;
- to explain how the Board interprets current conditions, risks, and scenarios; and
- to provide journalists with an opportunity to ask questions.

During the press conference, the Governor speaks for the institution and presents the Board's collective view. The Head of the Monetary Policy Department participates to provide technical support and, when needed, clarify analytical aspects.

For many citizens, the press conference is the most direct contact with monetary policy. It therefore plays a central role in making the framework understandable, not only to experts but also to a broader audience.

Technical Briefing with Analysts

On a quarterly basis, shortly after the policy decision, the CBA holds a technical briefing with analysts and other expert stakeholders. This meeting allows financial market participants, economists, and academics to ask detailed questions about the economic analysis, modelling tools, and scenario design used in the round.

The session is led by the Head of the Monetary Policy Department and members of the staff who coordinated the projection round. A Board member may also attend to answer questions specifically related to policy decisions.

This arrangement allows the CBA to maintain a clear separation between communications designed for the general public and those targeted at experts. It ensures that technical questions can be addressed in depth, without requiring all communication channels to adopt a highly technical tone.

Social Media and Educational Platforms

Social media channels offer a way to communicate directly with citizens, especially younger audiences, without relying solely on traditional media. Short posts, infographics, and explanatory videos can be used to:

- build basic economic literacy (for example, explaining what inflation is, why price stability matters, and how the policy rate works); and
- summarize key points from policy decisions and the MPR in accessible language.

3. Transparency, Measurement, and Continuous Improvement

The breadth of tools and audiences described above reflects a simple idea: transparency is not a single action or document, but the cumulative effect of many consistent communication practices. Under FPAS Mark II, measuring and enhancing transparency involves asking, on a regular basis:

- whether target audiences can clearly identify the central bank’s objectives;
- whether they understand, at a basic level, how decisions are made;
- whether they have a realistic sense of the uncertainties and risks the Board is facing; and
- whether communication helps them interpret monetary policy decisions over time, rather than only on the day they are announced.

By regularly reviewing feedback from markets, media, surveys, and educational initiatives—and by treating communication itself as an area for continuous learning—the CBA can strengthen its transparency, reinforce accountability, and support the credibility that underpins effective monetary policy.

4. Transformation of CBA into one of the Most Transparent Central Banks in the World

Over the past several years, the Central Bank of Armenia has undergone a profound institutional transformation—one that has placed transparency at the center of its monetary policy framework. This shift has not been cosmetic. It reflects deliberate institutional choices, the adoption of an FPAS Mark II framework, a redesigned communications strategy, and a commitment to measurable accountability. The results are now visible in international comparisons: by 2025, Armenia ranked among the most transparent inflation-targeting central banks in the world, outperforming many long-established inflation-targeting regimes.

A New Benchmark: CBT-IT Transparency Results

The CBT-IT transparency index developed for FPAS central banks shows Armenia consistently scoring near the frontier. Armenia’s overall score—**16.65**, placing it just behind Sweden and the Czech Republic—reflects strength not in one area but across the entire institutional framework. The CBA has successfully built a system in which the legal foundations, analytical tools, publication practices, and communication channels all reinforce one another.

What Explains Armenia's Rise?

The CBA's rapid ascent toward the transparency frontier is not the result of a single reform, but of a cohesive institutional redesign grounded in FPAS Mark II principles.

- **A Fully Articulated Policy Framework:** The CBA publishes a clear, consistent statement of its policy objectives, a well-defined point inflation target, and a structured explanation of how decisions are made. The Monetary Policy Report provides the backbone of this transparency regime. It includes an assessment of the economic environment, a detailed taxonomy of risks, illustrative scenarios, and scenario-consistent policy paths. By making its analytical foundations public, the CBA allows both experts and the general public to understand the logic behind its decisions.
- **Systematic Scenario-Based Communication:** Few central banks publish forward guidance as explicitly as the CBA. The Taxonomy of Scenarios, updated every quarter, reveals the full spectrum of risks under active consideration—something most central banks only describe in general terms. The illustrative Case A, Case B, and (when relevant) Case X or Y scenarios show not only *what* risks matter, but *how* policy would react if those risks materialize. This level of structured disclosure significantly reduces ambiguity, making Armenia's monetary policy process one of the most transparent globally.
- **Broad and Inclusive Communication Channels:** The CBA's communications infrastructure—press conferences, analyst briefings, executive statements, attributed minutes, and extensive public education efforts—ensures that transparency is not confined to specialists. The press conference and MPR are published the same day as each decision, allowing for immediate public accountability. On top of this, the CBA's Learning Hub, technical briefings, and educational outreach expand the audience for monetary policy far beyond financial markets.
- **Publication of Tools, Data, and Methods:** Transparency is not only about explaining decisions; it is also about revealing the tools behind them. The CBA's open publication of data, analytical dashboards, scenario narratives, and elements of its core models pushes Armenia well ahead of peers. Even in areas where full code publication is not possible, the methodological clarity in the MPR and supplementary materials stands out internationally.

Transparency is not merely a communications strategy for the CBA—it is a cultural commitment. The FPAS Mark II reforms, the Dynamic Learning Environment, the rotation system, and the emphasis on structured judgment all support a culture where clarity,

openness, and accountability are everyday expectations. This culture ensures that transparency is not episodic but continuous.

Conclusion: A Modern Transparency Leader

Armenia's rise to the top tier of global central bank transparency is the result of a coherent institutional transformation. Through FPAS Mark II, the CBA now offers one of the clearest, most structured, and most accessible policy frameworks in the world. Its communication tools, risk-based process, and systematic publication practices set a new standard for small open economies.

In an era where uncertainty is the defining feature of monetary policy, the CBA's model shows that transparency is not a luxury—it is a prerequisite for credibility, effective expectations management, and public trust.

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Script

Hello everyone, I’m Susanna Grigoryan, an economist at the Central Bank of Armenia and a Level One student at the Global Forecasting School. In this session, I’ll talk about how FPAS Mark II turns transparency into a core part of credible monetary policy, and how this has helped the CBA become one of the most transparent central banks in the world.

Under FPAS Mark II, transparency is not something we add at the end of the process. It is built into every stage of the framework: how we design scenarios, how we brief the Board, how we publish forecasts, how we record and explain decisions, and how we review ourselves after each policy round. The goal is simple: people should never be certain about the future – that is impossible – but they should be very certain about the central bank’s commitment to price stability and the way we make decisions under uncertainty.

Let me start with who we are actually talking to when we communicate.

For much of the last century, central banks mostly spoke to a very narrow audience. The unwritten rule was: say as little as possible, and say it in technical language that only markets and a small group of experts could fully understand. With the rise of inflation targeting and FPAS-style frameworks, that approach began to change. Communication became an essential part of the policy framework itself. But even then, most of the focus remained on traders, analysts, and academic economists.

The experience of the global financial crisis, the pandemic, and recent geopolitical shocks has shown that this is no longer enough. Households and firms play a central role in the expectations channel. Their views about inflation, interest rates, and economic prospects influence wage bargaining, price setting, and investment decisions. Yet in many countries, including those with high levels of education, people still do not really know what the central bank does, who makes the key decisions, or what the inflation target means in practice. Often, their views are shaped indirectly through media headlines or social media, which can easily distort or oversimplify our messages.

Media outlets remain important partners for us, but they cannot be the only way we speak to society. Stories can be shortened, re-framed, or mixed with political commentary. That is why we need a communication strategy that reaches a wider circle of audiences directly, without relying solely on intermediaries.

For the CBA there is an additional reason to take this seriously: accountability. The Board is appointed to serve the public. Transparent communication is the main channel through which we show how we are fulfilling our mandate. It is not just a technical issue, it is part of good governance.

Within this broader view, we think of several key audiences. Financial markets are still central, because expectations of banks, investors, and asset managers shape interest rates, financial conditions, and capital flows. They need clarity on how we interpret data, how we assess risks, and how we are likely to react.

Government and other public institutions are another important audience. Monetary and fiscal policy have separate mandates, but they interact all the time. Clear communication helps ministries and agencies interpret our decisions correctly and supports coherent macroeconomic policy as a whole.

Then there is the general public: households and businesses who feel inflation and macro instability in their daily lives. When we talk to them, we have to use plain language, without pretending that monetary policy is simple. The aim is to give people a basic understanding of what we are trying to achieve and why some decisions – including unpopular ones – are sometimes necessary.

The media remain a vital partner because they can reach millions of people quickly. But we treat them as one audience among many, not as our only channel. We also work with journalists to build economic literacy so that coverage of monetary policy becomes deeper and more accurate over time.

We also speak to the academic community. Researchers and lecturers shape how students and future policymakers think about central banking. Seminars, joint research, and teaching materials help keep the policy debate in Armenia connected to international thinking.

Finally, international organizations such as the IMF and the World Bank are important partners. Consistent communication with them supports capacity building, external assessments, and the credibility of the framework in the eyes of the international community.

These groups differ a lot in their technical background, their interests, and the way they consume information. So a modern central bank cannot speak to everyone in the same way. Under FPAS Mark II, one of our key challenges is to adjust the level of detail, the style, and the format of our messages so that policy remains both accessible and analytically sound. That is where the main communication tools come in.

The centrepiece of our system is the quarterly Monetary Policy Report. This is our flagship document. It explains how the FPAS Mark II framework is applied in each policy round.

The MPR is built around three simple questions. First: where is the economy now? We describe current and underlying conditions at home and abroad, using current analysis, model-based estimates, and information from our dashboards. Second: what forces are driving the outlook? Here we present the main shocks and trends shaping the forecast, organized through the Taxonomy of Scenarios and the least-regrets perspective. We explain which upside and downside risks matter most in this round. Third: how is policy responding? We show how the CBA would adjust its instruments in illustrative scenarios in order to safeguard price stability.

The structure of the report mirrors these questions. It begins with an executive summary that gives a clear narrative of recent developments, the main risks, and the Board's decision. Then it moves to detailed chapters on real activity, inflation, external and financial conditions. A separate section presents the Taxonomy of Scenarios – a structured map of the main demand and supply shocks that could affect Armenia, and what they would mean for inflation and output. From this taxonomy, staff select one Case A and one Case B scenario, and sometimes additional cases when warranted. Each scenario comes with a narrative and a full set of macro-consistent projections, including

paths for inflation, output, and the policy rate. The report then explains the Board's decision in the light of this analysis and concludes with tables, charts, and methodological notes for those who want to see the details.

The idea is that the MPR should work at different levels. An analyst can read it closely and trace every step of the reasoning. A non-expert can read the executive summary, scan the headlines and charts, and still come away with a clear sense of what is happening in the economy and why the Board took a particular decision.

Alongside the MPR, we publish an Executive Monetary Policy Statement after every one of the eight policy meetings each year. This is a short press release. It contains a statement from the Board announcing the decision and summarizing the institutional rationale, and a brief staff assessment of current and underlying conditions. On non-MPR dates, this statement becomes the main written explanation of the decision, so communication remains continuous throughout the year.

Every decision is also followed by a press conference with the Governor, live-streamed and later posted online. In this setting, the Governor presents the decision, explains how the Board views the current state of the economy and the key risks, and answers questions from journalists. The Head of the Monetary Policy Department joins to support the Governor on analytical issues. For many citizens this is their primary contact with monetary policy, so the press conference plays a central role in making the framework understandable and in showing that we are ready to take questions in real time.

On a quarterly basis we hold a separate technical briefing with analysts and expert audiences. Here the tone is more granular. Market participants, economists, and academics can ask detailed questions about the projections, the models, and the scenario design. The briefing is led by the MPD and often joined by a Board member for policy-related questions. This two-track approach allows us to keep the press conference accessible to a wider public while still offering a forum for deeper technical discussion.

Social media and educational platforms are another piece of the puzzle. Short videos, infographics, and posts allow us to explain basic concepts – such as inflation, the role of the policy rate, or the meaning of the inflation target – and to highlight key points from each decision in simple language. The Learning Hub and other educational initiatives support the same goal: raising general economic literacy so that transparency actually translates into understanding.

All of these tools together create what we think of as a transparency system. Under FPAS Mark II, we regularly ask ourselves a few basic questions. Can citizens clearly identify our

objectives? Do they understand, at least at a high level, how we make decisions? Do they have a realistic sense of the risks we are facing? And does our communication help them interpret our actions over time, not just on the day of the decision?

This brings me to the final part of the session: how these efforts have transformed the CBA into one of the most transparent central banks in the world.

Over the last several years, the CBA has placed transparency at the core of its institutional design. This was not the result of a single document or a new slogan. It grew out of the shift to FPAS Mark II, the adoption of a least-regrets mindset, and the decision to measure ourselves against a formal transparency index for inflation-targeting central banks.

On that index, Armenia now ranks near the top globally. Our overall score places us just behind long-established leaders such as Sweden and the Czech Republic. What matters is not the exact number, but what sits behind it: a system in which legal foundations, analytical tools, publication practices, and communication channels are aligned and mutually reinforcing.

Several elements explain this rise. First, the policy framework is fully articulated and public. We clearly state our objectives, our point inflation target, and our operational approach. The Monetary Policy Report acts as the backbone of this system, showing how we read the economy, how we map risks into the Taxonomy of Scenarios, and how policy would react in different states of the world.

Second, scenario-based communication is systematic. Very few central banks publish forward guidance in the form of quantified risk scenarios as explicitly as the CBA. By updating the taxonomy each quarter and publishing illustrative Case A, Case B, and sometimes additional scenarios, we reveal not only which risks we consider important, but also how we would respond if they materialize. This significantly reduces ambiguity for markets and the public.

Third, our communication channels are broad and inclusive. Policy reports, executive statements, press conferences, technical briefings, media interviews, social media content, and educational programmes all carry the same core messages, but they are tailored to different audiences. This ensures that transparency is not confined to specialists.

Fourth, we are increasingly open about our tools. We publish data, scenario narratives, and descriptions of models. Even where full code cannot be released, we explain the

logic clearly. This allows external analysts to understand how we are thinking and to challenge or complement our views.

Finally, transparency is part of the culture. The FPAS Mark II reforms, the Dynamic Learning Environment, the rotation of staff roles, and the emphasis on structured judgment all create an environment where clarity and openness are daily expectations, not occasional events. Transparency is how we work, not just how we speak.

To sum up, under FPAS Mark II, transparency is a core policy instrument. It helps us anchor expectations, manage uncertainty, support accountability, and strengthen credibility. In a world where uncertainty is the defining feature of monetary policy, the CBA's experience shows that transparency is not a luxury. It is a prerequisite for trust and for effective policy transmission.

Thank you for watching.